

Apple

NASDAQ : \$5008.93B mkt cap · 14.78B sh · \$54.7B cash, \$90.7B debt · Net debt ~\$36B (\$54.7B cash vs ~\$90.7B total debt); ~14.78B shares, shrinking on a fresh \$100B buyback + dividend raise; Revenue \$416B FY25 (+6%); GAAP op margin ~32%; FCF ~\$99B; Services ~\$31B/quarter at ~70%+ gross margin; ~\$339 (Sep 2026), +33% TTM, +25% YTD; iPhone ~50% of revenue, Greater China reaccelerating (+28%)

Mature-Company DCF

\$338.98

THE CENTRAL QUESTION

Does a mid-single-digit grower at ~50x FCF, with AI outsourced to Gemini and a ~\$20B/yr Google-payment cliff, justify a premium the modal can't underwrite?

Apple trades at ~\$5.01T (~\$339/sh, +33% TTM) - about 50x ~\$99B FCF on \$416B mid-single-digit revenue, with ~\$36B net debt. Services compounds mid-teens at ~70%+ gross margin, but iPhone is still ~50% of revenue, AI is outsourced to Gemini, and the ~\$20B/yr Google search payment faces a DOJ rebid. The DCF resolves whether quality justifies the multiple: weighted -43.8%, modal ~\$188 (-45%).

PROBABILITY-WEIGHTED EXPECTED VALUE

\$190.57

expected fair value today
-43.8% vs spot \$338.98

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$279.41	\$409.85	\$601.45	\$883.03
0.82x spot	1.21x spot	1.77x spot	2.60x spot

WEIGHTING RATIONALE

Ultra Bear 13% iPhone stalls and the Services tails crystallize; ~\$89 (-74%).

Bear 27% Low-single-digit growth; the multiple compresses; ~\$129 (-62%).

Base 33% Services compounds, iPhone steady, but still rich; ~\$188 (-45%).

Bull 19% AI-era ecosystem deepens, search risk fades; ~\$279 (-18%).

Ultra Bull 8% Services step-change; FCF/share compounds; ~\$362 (+7%).

Bull (19%) + Ultra Bull (8%) together contribute \$82.04 — 43% of the \$190.57 expected value despite 27% combined probability. Today's spot (\$338.98) sits 78% above the weighted expected; the forward-weighted value reaches spot in about 8 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$89.39	BEAR	\$129.46	BASE	\$187.74	BULL	\$279.18	ULTRA BULL	\$362.45
	-73.6% vs spot		-61.8% vs spot		-44.6% vs spot		-17.6% vs spot		+6.9% vs spot
CAGR +2.0% WACC 9.0% CAGR +2.0% Prob 13%		CAGR +4.4% WACC 8.5% CAGR +4.4% Prob 27%		CAGR +6.2% WACC 8.0% CAGR +6.2% Prob 33%		CAGR +8.2% WACC 7.6% CAGR +8.2% Prob 19%		CAGR +10.0% WACC 7.4% CAGR +10.0% Prob 8%	
iPhone stalls; Services tails crystallize.		Low-single-digit growth; multiple compresses.		Services compounds; iPhone steady; still rich.		AI-era ecosystem deepens; search risk fades.		Services step-change; FCF/share compounds hard.	

PROBABILITY WEIGHTS

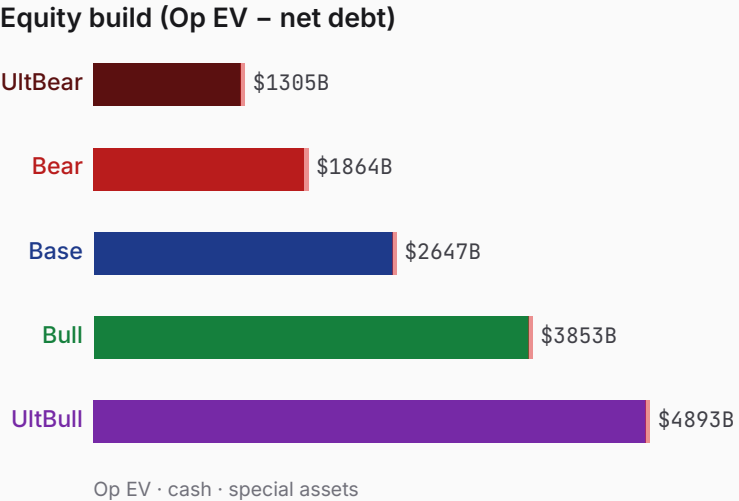
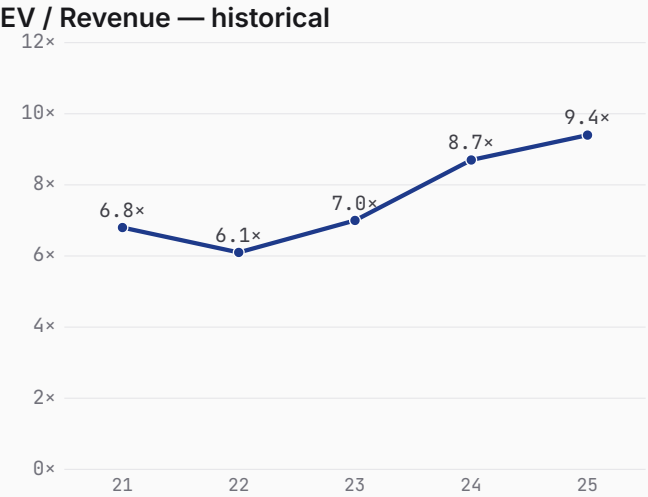
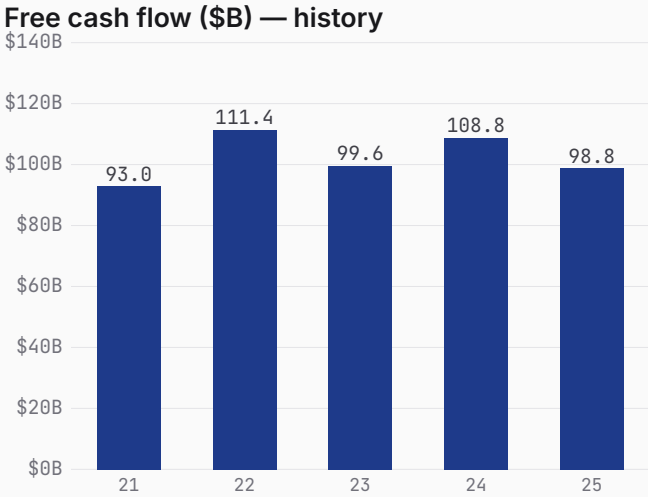
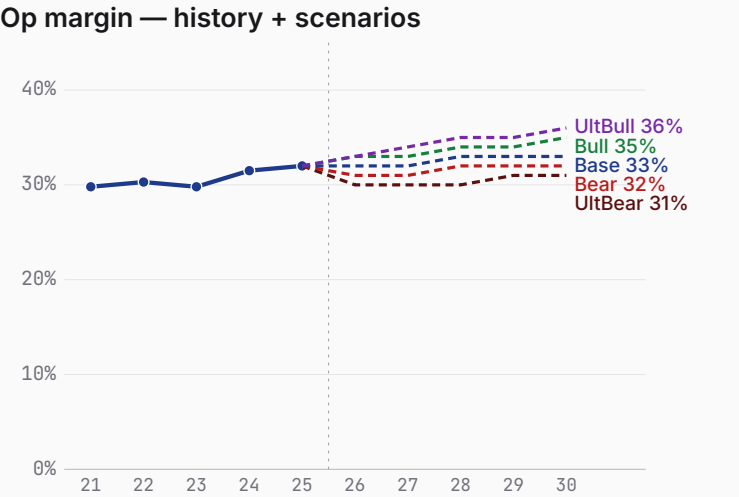
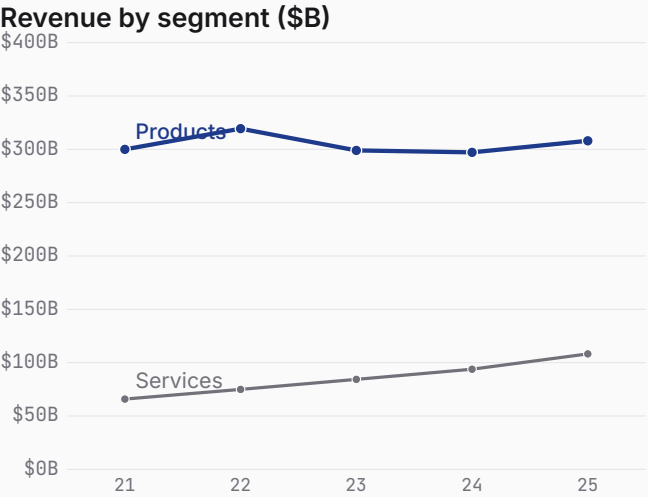
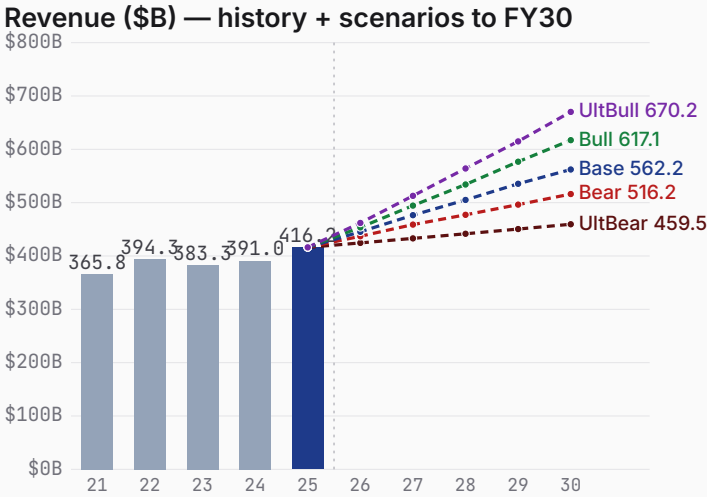
Ultra Bear 13% Bear 27% Base 33% Bull 19% Ultra Bull 8% · Weighted expected \$190.57 (-43.8% vs spot)

ULTRA BEAR	\$89.39	BEAR	\$129.46	BASE	\$187.74	BULL	\$279.18	ULTRA BULL	\$362.45
	-73.6% vs spot		-61.8% vs spot		-44.6% vs spot		-17.6% vs spot		+6.9% vs spot
Probability 13%		Probability 27%		Probability 33%		Probability 19%		Probability 8%	
iPhone stalls; Services tails crystallize.		Low-single-digit growth; multiple compresses.		Services compounds; iPhone steady; still rich.		AI-era ecosystem deepens; search risk fades.		Services step-change; FCF/share compounds hard.	
WHY 13%		WHY 27%		WHY 33%		WHY 19%		WHY 8%	
The genuine bear: iPhone is ~50% of revenue and partly pulled forward, the search payment must be rebid annually under the DOJ ruling, and App Store fees face regulatory pressure on two continents. 13% weight on the tails crystallizing together.		Share and ecosystem hold, but mid-single-digit growth can't carry a premium multiple while the search-payment and fee tails hang over Services. 27% as the plausible 'durable but slow' path.		Requires Services to keep compounding and the iPhone base to stay sticky through the AI-platform shift — consistent with FQ2's record Services and China rebound, but not a re-acceleration. 33% as the central, still-rich outcome.		Services + the AI-era ecosystem stay sticky, the search payment holds, and China momentum continues — the FQ2 trends extended. ~19% weight on the franchise compounding without the tails biting.		Everything compounds — Services AND margins AND buyback leverage AND no regulatory hit — the quality-compounder outcome. ~8%, the long-duration tail that justifies the premium if it lands.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The hardware engine flattens and the twin regulatory tails land: iPhone revenue stagnates as the upgrade super-cycle pays back, the ~\$20B/yr Google search payment is cut or competed away, and EU/US App Store fee erosion bites high-margin Services. Revenue grows ~2%/yr and FCF margin compresses toward ~20% as the mix shifts away from the most profitable dollars.		Apple keeps the ecosystem but the growth stays muted: iPhone replacement cycles lengthen, Services compounds but off a base partly funded by the at-risk search payment, and tariff/India cost drag (~5-8% premium) trims gross margin. Revenue compounds ~4% at a ~23% FCF margin.		The modal path: Services compounds mid-teens at ~70%+ gross margin on a 2.5B+ installed base, the iPhone 17 cycle and China reacceleration keep hardware steady, and the Gemini-powered Siri keeps users locked in. Revenue compounds ~6% to ~\$555B at a ~25% FCF margin, with buybacks shrinking the share count.		The ecosystem wins the AI era on someone else's model: the Gemini-powered Apple Intelligence raises engagement and Services attach, the search payment survives the rebid intact, and the installed base feeds a higher-margin Services mix. Revenue compounds ~8% to ~\$600B and FCF margin lifts toward ~27%.		The full upside: Services reaccelerates on AI features and new monetization, hardware finds a fresh wedge (wearables, new categories), gross margin holds near 49%, and the ~\$100B buyback compounds FCF/share on a shrinking count. Revenue compounds ~10% to ~\$640B at a ~30% FCF margin.	
A flat hardware franchise losing its richest Services rents re-rates to a mid-teens FCF multiple — DCF ~\$89 (-74%). Net debt offers no cushion here; the de-rate is the multiple meeting the growth.		DCF ~\$129 (-62%) — a durable but slow-growing franchise at ~19x terminal FCF is worth well below 50x; the gap between today's multiple and mid-single-digit growth is the whole bear.		DCF ~\$188 (-45%) — even crediting durable Services growth and a defended ecosystem, a ~23x terminal FCF multiple lands well below the ~50x paid today; the modal case says the price embeds quality and safety beyond what the cash flows underwrite.		DCF ~\$279 (-18%) — even the bull falls short of today's price; an upper-single-digit grower at a sustained high-20s FCF multiple is worth less than spot, not more.		DCF ~\$362 (+7%) — the only scenario that clears spot, and only if Services takes a genuine step-change and the multiple stays in the low-30s. ~8% probability, the thin upside the premium is paying for.	

Apple business snapshot

Bear \$129.46 Base \$187.74 Bull \$279.18

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FQ2 2026 (Apr-2026) results



Sources: SEC XBRL company facts (CIK 320193; revenue, GAAP operating income/margin, cash flow, debt), Apple FQ2 2026 release (revenue \$111.2B +17%, iPhone \$56.99B +22%, Services \$30.98B +16% at an all-time high, Greater China \$20.5B +28%, gross margin 49.3% guided down to 47.5-48.5% on higher memory cost). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs mega-cap peers (MSFT/GOOGL/NVDA).

Apple 7 Powers · the moat, scored

Bear \$129.46 Base \$187.74 Bull \$279.18

Arena. Premium consumer hardware + a high-margin Services ecosystem - Apple vs Samsung/Google (phones), Microsoft/Google (platforms/AI), and the App Store/payments field; auditing a branding + switching-costs Power against the AI-platform shift.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Massive purchasing/manufacturing and R&D scale across ~\$416B revenue; among the deepest in consumer tech, though not the single dominant Power.
Network Economies ■■■	iMessage/FaceTime/AirDrop and the developer ecosystem create modest network pull, but the lock-in is more switching cost than true network effect.
Counter-Positioning ■■■	Largely the incumbent now; the privacy-and-integration stance differentiates but rivals can and do copy it - not a structural counter-position.
Switching Costs ■■■	Deep ecosystem lock-in: iCloud, App Store purchases, Watch/AirPods/Mac continuity, iMessage - leaving means abandoning a connected device estate; a core durable Power.
Branding · thesis leans here ■■■	The strongest Power: the premium global brand commands pricing power and ~49% gross margin and anchors a 2.5B+ installed base; decades-durable.
Cornered Resource ■■■	In-house silicon (A/M-series) is a real edge and the developer base is sticky, but neither is a fully cornered, irreplaceable resource.
Process Power ■■■	World-class supply-chain and silicon-design execution (Cook's operational machine); a genuine but partly replicable advantage.

PEER SET

Samsung The premium-Android hardware rival; competes on phones/wearables but lacks Apple's Services ecosystem and margin.	5% gr · 10% mgn · ~12x P/E
Alphabet (GOOGL) Owns Android + Gemini; the AI-platform threat and Apple's ~\$20B search-payment counterparty all at once.	15% gr · 32% mgn · ~24x P/E
Microsoft (MSFT) The other quality mega-cap compounder; the platform/AI peer Apple's multiple is benchmarked against.	13% gr · 45% mgn · ~33x P/E
Samsung Electronics / Xiaomi High-volume Android OEMs pressuring iPhone share in China/India at lower price points.	8% gr · 8% mgn · ~10x P/E

THREAT VECTORS · FALSIFIERS

Switching Costs · The AI-platform shift (Gemini/agent layer) falsifier: An AI agent layer that disintermediates the iOS interface and erodes ecosystem lock-in - measurable as Services attach/engagement flattening.
Branding · Regulators (DOJ search remedy + EU/US App Store) falsifier: The ~\$20B Google search payment is cut on rebid and App Store fee remedies take hold, draining the highest-margin Services dollars.
Scale Economies · Tariffs + India supply shift falsifier: Gross margin slips below ~46% as the ~5-8% India cost premium and tariff drag (~\$900M/quarter) outrun price.

COMPETITIVE READ

Apple's brand is the strongest single Power in this set - a premium global franchise with ~49% gross margin and pricing power - reinforced by deep ecosystem switching costs and immense scale; durability is high. But the live threat is the AI-platform shift: with Apple Intelligence outsourced to Gemini, the next interface may run on someone else's model, and that same counterparty anchors a ~\$20B/yr search payment now exposed to a DOJ rebid. The Powers are durable; the question the DCF presses is price, not moat. A mid-single-digit grower at ~50x FCF carries a premium even the bull (~\$279, -18%) can't justify, and the modal case lands ~\$188 (-45%).

Apple show your work

Bear \$129.46 Base \$187.74 Bull \$279.18 · Weighted \$190.57 (-43.8%)

ULTRA BEAR					\$89.39					BEAR					\$129.46					BASE					\$187.74					BULL					\$279.18					ULTRA BULL					\$362.45				
ASSUMPTIONS										ASSUMPTIONS										ASSUMPTIONS										ASSUMPTIONS										ASSUMPTIONS									
5y revenue CAGR (%)					+2.0					5y revenue CAGR (%)					+4.4					5y revenue CAGR (%)					+6.2					5y revenue CAGR (%)					+8.2					5y revenue CAGR (%)					+10.0				
Year-5 op margin (%)					31.0					Year-5 op margin (%)					32.0					Year-5 op margin (%)					33.0					Year-5 op margin (%)					35.0					Year-5 op margin (%)					36.0				
WACC (%)					9.0					WACC (%)					8.5					WACC (%)					8.0					WACC (%)					7.6					WACC (%)					7.4				
Terminal growth (%)					2.5					Terminal growth (%)					3.0					Terminal growth (%)					3.5					Terminal growth (%)					4.0					Terminal growth (%)					4.0				
Terminal FCF (\$B)					\$96.50B					Terminal FCF (\$B)					\$118.72B					Terminal FCF (\$B)					\$140.54B					Terminal FCF (\$B)					\$166.63B					Terminal FCF (\$B)					\$201.06B				
Starting revenue (\$B)					416.20					Starting revenue (\$B)					416.20					Starting revenue (\$B)					416.20					Starting revenue (\$B)					416.20					Starting revenue (\$B)					416.20				
Scenario probability (%)					13					Scenario probability (%)					27					Scenario probability (%)					33					Scenario probability (%)					19					Scenario probability (%)					8				
5-YEAR DCF · \$B										5-YEAR DCF · \$B										5-YEAR DCF · \$B										5-YEAR DCF · \$B										5-YEAR DCF · \$B									
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF															
FY26	424.52	+30%	+84.91	+77.89	FY26	437.01	+31%	+96.14	+88.61	FY26	445.33	+32%	+102.43	+94.84	FY26	453.66	+33%	+108.88	+101.19	FY26	461.98	+33%	+115.50	+107.54	FY26	461.98	+33%	+115.50	+107.54	FY26	461.98	+33%	+115.50	+107.54															
FY27	433.01	+30%	+86.60	+72.89	FY27	458.86	+31%	+100.95	+85.75	FY27	476.51	+32%	+114.36	+98.05	FY27	494.49	+33%	+123.62	+106.78	FY27	512.80	+34%	+133.33	+115.59	FY27	512.80	+34%	+133.33	+115.59	FY27	512.80	+34%	+133.33	+115.59															
FY28	441.67	+30%	+92.75	+71.62	FY28	477.21	+32%	+109.76	+85.93	FY28	505.10	+33%	+121.22	+96.23	FY28	534.05	+34%	+138.85	+111.46	FY28	564.08	+35%	+157.94	+127.49	FY28	564.08	+35%	+157.94	+127.49	FY28	564.08	+35%	+157.94	+127.49															
FY29	450.51	+31%	+94.61	+67.02	FY29	496.30	+32%	+114.15	+82.37	FY29	535.40	+33%	+133.85	+98.38	FY29	576.77	+34%	+155.73	+116.18	FY29	614.85	+35%	+178.31	+134.01	FY29	614.85	+35%	+178.31	+134.01	FY29	614.85	+35%	+178.31	+134.01															
FY30	459.52	+31%	+96.50	+62.72	FY30	516.16	+32%	+118.72	+78.95	FY30	562.17	+33%	+140.54	+95.65	FY30	617.14	+35%	+166.63	+115.53	FY30	670.18	+36%	+201.06	+140.70	FY30	670.18	+36%	+201.06	+140.70	FY30	670.18	+36%	+201.06	+140.70															
Σ PV explicit FCF					+352.15					Σ PV explicit FCF					+421.61					Σ PV explicit FCF					+483.15					Σ PV explicit FCF					+551.13					Σ PV explicit FCF					+625.33				
+ PV terminal (g 2.5%)					989.01					+ PV terminal (g 3.0%)					1478.55					+ PV terminal (g 3.5%)					2199.98					+ PV terminal (g 4.0%)					3337.49					+ PV terminal (g 4.0%)					4303.76				
EQUITY BUILD · \$B & PER SHARE										EQUITY BUILD · \$B & PER SHARE										EQUITY BUILD · \$B & PER SHARE										EQUITY BUILD · \$B & PER SHARE										EQUITY BUILD · \$B & PER SHARE									
Operating EV					\$1341.16B					Operating EV					\$1900.16B					Operating EV					\$2683.13B					Operating EV					\$3888.62B					Operating EV					\$4929.09B				
+ Cash & investments					\$54.70B					+ Cash & investments					\$54.70B					+ Cash & investments					\$54.70B					+ Cash & investments					\$54.70B					+ Cash & investments					\$54.70B				
– Total debt					\$90.70B					– Total debt					\$90.70B					– Total debt					\$90.70B					– Total debt					\$90.70B					– Total debt					\$90.70B				
= Equity value					\$1305.16B					= Equity value					\$1864.16B					= Equity value					\$2647.13B					= Equity value					\$3852.62B					= Equity value					\$4893.09B				
FY30 shares (M)					14,600					FY30 shares (M)					14,400					FY30 shares (M)					14,100					FY30 shares (M)					13,800					FY30 shares (M)					13,500				
= Expected per share					\$89.39					= Expected per share					\$129.46					= Expected per share					\$187.74					= Expected per share					\$279.18					= Expected per share					\$362.45				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT										FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT										FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT										FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT										FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT									
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y																
\$137.54	\$211.62	\$325.60	\$500.98		\$194.66	\$292.71	\$440.13	\$661.81		\$275.85	\$405.32	\$595.54	\$875.05		\$402.67	\$580.77	\$837.66	\$1,208.17		\$517.93	\$740.10	\$1,057.58	\$1,511.24		\$517.93	\$740.10	\$1,057.58	\$1,511.24		\$517.93	\$740.10	\$1,057.58	\$1,511.24																
0.41x	0.62x	0.96x	1.48x		0.57x	0.86x	1.30x	1.95x		0.81x	1.20x	1.76x	2.58x		1.19x	1.71x	2.47x	3.56x		1.53x	2.18x	3.12x	4.46x		1.53x	2.18x	3.12x	4.46x		1.53x	2.18x	3.12x	4.46x																

Apple

People · Opportunity · Context · Deal

Bear \$129.46 Base \$187.74 Bull \$279.18

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tim Cook

15 yrs in seat

0.1%

insider ownership

LOW

key-person risk

Capital allocation (realized)
Tim Cook has been CEO since August 2011 (founder Steve Jobs died that year). A dated succession is now underway: announced April 2026, effective September 1, 2026, Cook becomes Executive Chairman and John Ternus (SVP Hardware Engineering, a 25-year Apple insider) becomes CEO, with Arthur Levinson moving to lead independent director. Capital allocation is best-in-class scale return: FY2025 ~\$89B buybacks + ~\$15B dividends (~\$105B total), a fresh \$100B buyback authorization, against ~\$132B cash/securities versus ~\$100B debt (~\$32B net cash) and ~\$35B R&D.

Incentive alignment
Cook’s FY2025 total compensation was ~\$74M (≈\$3M salary, ~\$12M cash incentive, ~\$57M equity), with the equity majority in performance RSUs tied to relative total shareholder return. Insider selling is routine and pre-scheduled (Rule 10b5-1 / sell-to-cover on RSU vesting). Insider ownership is under 0.1% — normal for a company this size and not a flag.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no super-voting, no controlling shareholder (largest holders Vanguard ~9%, BlackRock ~8%)
- Chair and CEO are currently separated (independent Chairman Levinson) — a positive
- dated CEO succession: Cook → Executive Chairman and John Ternus → CEO effective September 1, 2026; Levinson → lead independent director (the chair role becomes a non-independent insider at that point)
- 7 of 8 directors independent; all directors elected annually (board not staggered)
- the broadest executive-leadership turnover since 2011 (CEO, COO and CFO all refilled from within in 2025-2026)

PEOPLE READ

Clean, shareholder-friendly governance: single-class one-vote stock, no controlling holder, a 7-of-8 independent board, and — uncommon among megacaps — a chair currently separate from the CEO. Key-person risk is low because succession is not just planned but executed: a named internal CEO (Ternus) takes over on a fixed date, every senior role was backfilled from within, and no individual controls the company. The one notch to watch is that the chair becomes a non-independent Executive Chairman (Cook) in September 2026.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
-43.8% vs spot \$338.98

Apple supporting analysis · disclaimers · glossary

Bear \$129.46 Base \$187.74 Bull \$279.18

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The de-rate is the multiple, not the franchise.

Apple is a genuine quality compounder, but a mid-single-digit grower at ~50x FCF prices safety beyond growth — even the bull stops at ~\$279 (-18%).
- 2

The ~\$20B Google payment is a discrete cliff.

It is near-pure-margin Services that must be rebid annually under the DOJ ruling; losing it directly cuts the highest-quality earnings, and the bear/ultra-bear weight it.
- 3

AI is outsourced, not owned.

A custom Gemini behind the revamped Siri (~\$1B/yr to Google) makes Apple a fast-follower on foundation models; the bull needs the ecosystem to win the AI era on someone else's stack.
- 4

Services + installed base are the quality.

~\$31B/quarter of Services at ~70%+ gross margin on 2.5B+ devices is durable recurring earnings — the base/bull lean on it compounding mid-teens.
- 5

iPhone is ~half the revenue and partly pulled forward.

FQ2 iPhone +22% rode pent-up demand from ~315M users on 4+yr phones; a payback air-pocket is the bear's mechanism once the super-cycle clears.

FALSIFICATION TRIGGERS

Bull validation

Services growth holds mid-teens+ · iPhone upgrade cycle sustains · the Google search payment survives the rebid · gross margin defends ~47%+ · China revenue keeps reaccelerating

Bear validation

Services decelerates below ~10% · the search payment is cut or competed away · EU/US App Store fee remedies take hold · iPhone goes flat-to-down · gross margin slips below ~46%

Reframe needed

if the AI-platform shift cedes the next interface (a Gemini/agent layer that disintermediates iOS) or Services structurally stalls, re-rate the terminal toward a flat-hardware multiple - the ultra-bear's ~16x

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

- Services

— Apple's recurring high-margin revenue (App Store, AppleCare, advertising, payments, subscriptions; ~\$31B/quarter at ~70%+ gross margin) on a 2.5B+ device base - the quality engine.

Apple Intelligence

— Apple's AI feature set; the revamped Siri runs a custom Google Gemini model (~\$1B/yr) - AI partnered, not in-house.
- Installed base

— The >2.5B active Apple devices that drive Services attach and switching costs; its growth, not unit sales, anchors the mid-teens Services compounding.

FCF margin

— Free cash flow / revenue (~24% FY25); whether the grower defends ~70%+-margin Services against the search-payment tails.
- Google search payment

— The ~\$20B/yr Google pays to be the default Safari search engine - near-pure-margin Services that must be rebid annually under the DOJ ruling; a discrete cliff.